The Corner That Got Lucky

A house in a New Zealand suburb is worth more this winter than it was last, and the family inside it did nothing to earn the difference. They didn't add a room or repaint a wall. What happened was outside the fence: a train station opened two streets over, a primary school filled up, a café took the empty shop on the corner. The land under the house quietly gained tens of thousands of dollars, and every cent of that gain was made by the town.

That gap — between what an owner builds and what the neighbourhood hands them — is the whole case for a land value tax. And New Zealand may be the country it was invented for. Three things line up here that rarely line up anywhere: a housing crisis with land at its centre, a tax system with a land-shaped hole in it, and the machinery to value land already built, paid for, and running. Most countries that want a land tax have to argue all three into existence. New Zealand already has them.

What the tax actually touches

Start with what a land value tax is, because the name does it no favours. It does not tax your house. It taxes the bare ground underneath — what the empty section alone would sell for, stripped of the building on top. Picture two identical sites side by side. One holds a four-storey apartment block; the other is a weedy vacant lot the owner is sitting on. Under a land value tax they owe exactly the same, because the land beneath them is worth the same. The building doesn't enter into it.

Here is the part that matters for New Zealand: the country already prints this number. Every property in the land carries an official **Land Value** — the likely price the land alone would fetch, minus the buildings and improvements — recorded by councils separately from the total, and refreshed at least every three years. The figure that a land value tax needs is not a new invention to be fought over. It is already sitting on your rates bill.

Why land is the one thing worth taxing

Now the reason this is a good idea and not merely a clever one. Almost everything a government taxes can run away from the tax. Tax income too hard and people work a little less, or get paid offshore. Tax a company and it can shift its profits, or itself, to a friendlier country. The tax doesn't just raise money; it bends behaviour, and the bending is pure waste — value that simply stops happening because the tax scared it off.

Land cannot run. A quarter-acre in Mount Eden will be a quarter-acre in Mount Eden whatever the rate. You can tax it and it stays exactly where it is, doing exactly what it did, which means a land tax raises revenue without the waste that follows the others around. This isn't a fringe theory; it's old enough that Adam Smith pointed it out, and it falls out of the simplest fact about land — nobody is making more of it. Real-world valuation is imperfect, so the gain isn't literally costless, but a tax on land is far more efficient than almost anything else a treasury can reach for.

And it is also the fairest thing to reach for, which is the rarer combination. Go back to the corner that got lucky. The rise in that land's worth was made by the station, the school, the café — by the town pooling its effort and its money into one place. The owner supplied none of it. A land value tax simply asks for a slice of the value the community created back from the person who happened to be standing on it. Your house is your effort, and the tax leaves it alone. The land's rising worth is the town's gift, and the tax takes a little of the gift.

The hole in the tax system

New Zealand is nearly alone in the developed world in having no broad tax on capital gains. Sell shares, sell a rental, sell a paddock that tripled in value, and the profit is usually yours untouched — caught only by the narrow bright-line test, which nets residential sales inside a short window after purchase and lets the rest sail through. The predictable thing happened. Money that would elsewhere be spread across many investments piled into the one asset the taxman couldn't see: land. The country made land its national savings account, and the price of a house is the statement.

Median house price ÷ median household income (×)

New Zealand housing sits 3-5x above the international "affordable" line, showing how far untaxed land has run.

The numbers are not subtle. By 2024 the median New Zealand house cost roughly 14.6 times the median household's yearly income; in Auckland the ratio has run somewhere between eight and eleven. The international rule of thumb calls housing "affordable" at three times income or below. New Zealand is three to five times past the line. A tax that falls hardest on land, and on land held idle, aims straight at the thing that has run away.

The machine is already built

Everywhere else, the killer objection to a land value tax is practical: you can't value the land apart from the building, the argument goes — it's too hard, too slippery, too easy to dispute. In New Zealand that objection mostly collapses on contact. Councils already rate property, and the law lets them rate on land value if they choose. Quotable Value already revalues the land component of every property in the country on a three-year cycle. The country ran an actual national land tax until 1992. The nineteenth-century movement to tax land values bit deeper here than almost anywhere on earth — proposals to rate land and spare the buildings on it surfaced in these provinces as early as 1849. And the idea is not a museum piece: in 2024 Wellington City Council was openly weighing a switch to rating on land value.

So the town grew up around the corner, and the meter that measures the gift is already installed on the wall. New Zealand isn't being asked to build a new machine. It's being asked to turn one it already owns and has run for over a century. Even the country's official tax review saw the opening: when the Tax Working Group reported in 2019, it noted that a land tax was well suited to being levied by councils — a local tax on a base they already assess. The plumbing is in. Only the decision is missing.

The strongest objection

There is one objection that deserves to be taken at full strength, because it is the one that keeps sinking land taxes at the ballot box. Picture the widow in the villa she and her husband bought in 1975 for a modest sum, now worth two million dollars through no act of hers — the suburb simply rose around her. Her income is the pension. A tax on her land's soaring value is a bill she cannot pay from what she has coming in. Picture the farmer whose entire balance sheet is dirt and stock, asset-rich and cash-poor, facing a charge on land that earns him a living only slowly. Tax these people on paper wealth they can't spend and you can tax them out of the family home and the family farm. That is not a caricature; it is a real cost, and it carries real political weight.

And how New Zealand already answers it

Here, too, the country has quietly built the remedy before needing it. New Zealand councils already run **rates postponement** schemes: an eligible owner — typically over sixty-five, or on a low income — can stop paying and let the bill accumulate against the property, repaid with interest only when the house is finally sold or settled from the estate. Apply the same mechanism to a land value tax and the widow keeps her villa. She pays nothing from her pension; the tax comes out of the windfall at the very moment the windfall becomes real money, when the corner is finally cashed out. You settle up with the lucky corner only when you climb down off it. Deferral like this is not an improvisation invented to rescue the idea — it is a standard tool used where land is taxed and incomes lag behind.

Concede the rest honestly, because it is true: take-up of these schemes is low today, and people hate the thought of debt quietly stacking up against the family home. A land tax that leaned on deferral would have to make it generous and close to automatic, not a grudging form buried on a council website. But that is a problem of design, and design is fixable. It is not a reason to leave the tax on the shelf.

What follows

Put it together and the shape is hard to argue with. A tax that almost nobody can dodge, because land can't move. A tax that is cheap to run, because the rails already exist and the meters already turn. A tax that gently penalises sitting on an empty section while the town booms around it, and rewards the person who actually builds something on their land. For a country that has spent a generation treating land as the best place to park money rather than the place to build homes, that is not a punishment. It is the precise medicine.

The corner got lucky because the town made it lucky. A land value tax just asks it to pay a little of that luck back to the town that handed it over — and New Zealand, almost uniquely, is already holding the bill.